CONVERTIBLE PROMISSORY NOTE

Parties

Company: ____________________________

Investor: ____________________________

This Convertible Promissory Note (this "Note") evidences a loan from the Investor to the Company on the terms below. Unlike a standard promissory note, the amount owed under this Note is intended to convert into equity of the Company upon the events described below, rather than being repaid solely in cash.

Principal and Interest

Principal Amount: ____________________________

Annual Interest Rate: ____________________________

Interest accrues on the outstanding principal from the date of this Note until the principal and accrued interest are converted or repaid in full, calculated on the basis stated above.

Maturity Date

Maturity Date: ____ / ____ / ______

If the outstanding principal and accrued interest have not converted into equity under this Note before the Maturity Date, the provisions of the "Treatment at Maturity" section below apply.

Conversion Upon Qualified Financing

If, before repayment or earlier conversion, the Company completes a bona fide equity financing in which it sells preferred or other equity securities primarily for cash to one or more investors resulting in gross proceeds to the Company of at least the amount stated below (a "Qualified Financing"), the outstanding principal and accrued interest under this Note will automatically convert into the same class of securities issued in that financing, on the same terms as those paid by the other investors in the Qualified Financing, subject to the discount and/or valuation cap described below.

Minimum Qualified Financing Amount: ____________________________

Discount Rate and Valuation Cap

The price per share at which this Note converts in a Qualified Financing will be the lower of (a) the price per share paid by other investors in that financing, reduced by the discount rate stated below, and (b) the price per share obtained by dividing the valuation cap stated below by the Company's fully diluted capitalization immediately before the Qualified Financing. If only one of the discount rate or valuation cap is filled in below, conversion is based solely on whichever mechanism applies.

Discount Rate (if any): ______________________________

Valuation Cap (if any): ______________________________

Treatment at Maturity

If no Qualified Financing has occurred by the Maturity Date, the parties will proceed as indicated below (check or describe the option the parties intend in the blank): the Company repays the outstanding principal and accrued interest in cash, the Note converts into equity at the valuation cap described above as if a Qualified Financing had occurred, or the maturity date is extended by mutual written agreement of the parties.

Treatment at Maturity if No Conversion: ______________________________

Prepayment

Unless the parties agree otherwise in writing, the Company may not prepay this Note before maturity without the Investor's written consent, since early repayment would deprive the Investor of the conversion right described above.

Representations

The Investor represents that it is acquiring this Note for its own account, for investment purposes, and not with a view toward resale or distribution, and acknowledges that neither this Note nor any securities issuable upon its conversion have been registered under applicable securities laws.

Tax and Securities Law Note

This document is a starting draft, not tax or securities-law advice. Convertible notes raise securities-law, valuation, and tax issues that depend on the jurisdiction, the parties' status, and the eventual terms of any financing round. The parties should have a lawyer and accountant review the final terms of this Note, and confirm compliance with applicable securities-law exemptions, before signing or exchanging any funds.

Governing Law

This Note shall be governed by the laws of the State/Country of ______________________________, without regard to its conflict-of-law principles.

Signatures

Company Signature: ______________________________

Name: ______________________________

Date: ____ / ____ / ______

Investor Signature: ______________________________

Name: ______________________________

Date: ____ / ____ / ______